

Buying Stability

Lesson 28 — Saudi Arabia, the Gulf monarchies, and oil wealth

What you will know and be able to do

1

Define rentier state theory and apply it to Saudi Arabia specifically

2

Explain how oil wealth has been used to maintain, not just fund, political stability

3

Compare Saudi Arabia's strategy directly with Iran's White Revolution

4

Evaluate how durable this strategy has actually proven to be

A different bargain with the same resource

Iran's Shah used oil wealth to fund rapid, disruptive modernisation — and was overthrown regardless. This block asks how the Gulf's monarchies, facing the same underlying resource, built a strategy that has, so far, proven considerably more durable.

Rentier state theory

Developed by Hazem Beblawi and Giacomo Luciani in 1987, rentier state theory argues that states relying on external rents — oil export revenue rather than domestic taxation — become unusually independent of, and largely unaccountable to, their own populations. Without a citizenry paying taxes, the normal political pressure for representation in return is significantly weakened.

Oil wealth and Wahhabi religious identity

The Saudi monarchy has drawn its legitimacy from two combined sources: enormous oil wealth, distributed through civil service jobs, subsidies, and infrastructure, and a specific religious identity rooted in Wahhabi Islam, providing the state a source of authority that does not depend on electoral consent at all.

‘Royal developmentalism’ in Iran and Saudi Arabia

Historian Relli Shechter's comparative research describes both Iran's Shah and Saudi Arabia's rulers pursuing a similar strategy between 1953 and 1979 — “royal developmentalism”, using oil-funded modernisation to secure authoritarian rule. The Shah's White Revolution and Saudi Arabia's own Ten-Point Program shared this underlying logic, even as their outcomes diverged sharply.

Disruption, versus managed distribution

Iran's reforms disrupted traditional landowning and clerical power quickly and visibly, generating organised opposition. Saudi Arabia's approach favoured steadier distribution — civil service employment, subsidised services, direct payments — that bought quieter compliance without dismantling existing religious and tribal power structures in the same confrontational way.

Managing Shia opposition in the 1980s

Facing unrest among its Shia minority population in the 1980s, Saudi Arabia responded largely through expanded welfare provision — jobs, wages, infrastructure — rather than only repression, using distributed oil wealth as a tool for managing internal dissent directly.

The Arab Spring, 2011

As uprisings toppled governments elsewhere in the region, Saudi Arabia's King Abdullah announced roughly \$37 billion in direct cash payments to citizens, alongside some \$130 billion for new public sector jobs and housing — a strikingly explicit, immediate demonstration of the rentier bargain in action, and a major reason the unrest never took hold there in the way it did elsewhere.

A bargain dependent on a finite resource

Rentier stability assumes oil revenue will keep flowing at levels sufficient to fund the bargain. Recent efforts like Saudi Arabia's Vision 2030 aim to diversify the economy precisely because this assumption cannot hold indefinitely — raising a genuine question about how durable this model of stability actually is, once oil wealth itself becomes less certain.

A full essay attempt

'Distributing oil wealth through gradual welfare provision, rather than disruptive modernisation, best explains why Gulf monarchies have proven more durable than Iran's.' To what extent do you agree?

- State your position and evaluative criterion clearly
- Use specific evidence comparing Saudi Arabia's approach to Iran's White Revolution
- Address the counter-argument that other factors, such as religious legitimacy, matter equally

Key terms from today

Rentier state

A state relying on external resource revenue rather than domestic taxation.

Wahhabi legitimacy

Saudi Arabia's specific religious source of political authority.

Royal developmentalism

Using oil-funded modernisation to secure authoritarian monarchical rule.

Rentier bargain

Exchanging distributed wealth for political quiescence, rather than representation.

What to remember

Saudi Arabia and Iran both pursued oil-funded 'royal developmentalism' from the 1950s, but Saudi Arabia's steadier, less disruptive distribution of wealth — reinforced by religious legitimacy — has proven more durable, most visibly during the 2011 Arab Spring. This strategy's long-term sustainability, however, depends on a finite resource.

Lesson 29 — OPEC and the politics of oil after 1973

Next lesson: how oil-producing states turned a shared resource into coordinated economic leverage — and the limits of that leverage over time.